T-12 OPERATING STATEMENT

Windmill Village | Indianapolis, IN

Property	Windmill Village
Period Ending	August 1, 2026
Basis	Accrual - Trailing 12 Months
Prepared By	Lumen Residential Services
Size	127,000 SF

Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4000 Gross Potential Rent	469,477	485,473	488,739	491,050	485,545	512,131	491,470	488,338	493,681	475,368	519,693	481,923	5,882,888
4010 Loss to Lease	271,963	263,626	257,852	269,866	252,178	258,066	262,368	244,423	256,383	276,731	257,112	265,712	3,136,280
4020 Vacancy Loss	309,717	325,274	315,496	317,785	301,016	296,587	318,418	317,241	323,122	299,140	330,590	303,679	3,758,065
4030 Concessions	100,018	88,821	99,520	98,815	88,600	89,195	95,454	89,259	99,125	98,032	95,023	99,174	1,141,037
4040 Bad Debt	167,898	169,753	174,555	156,384	160,090	174,833	174,048	168,547	157,699	176,007	173,660	166,176	2,019,650
4050 Late Fees	119,659	122,612	113,838	121,558	109,826	110,587	117,693	108,817	122,937	115,558	120,125	113,466	1,396,676
4060 Utility Reimbursements	263,061	252,927	239,226	239,139	229,879	248,037	249,306	255,005	230,301	250,679	240,368	243,421	2,941,349
4070 Parking Income	193,517	204,639	202,311	215,173	212,552	193,367	189,027	206,234	198,937	214,009	213,913	187,944	2,431,627
4080 Application Fees	175,743	190,047	174,782	188,639	179,839	178,482	182,232	192,030	189,294	181,278	196,644	179,192	2,208,202
4090 Pet Rent	90,797	81,977	80,925	80,965	92,534	81,379	85,402	87,065	85,771	84,780	86,662	86,462	1,024,718
4100 Laundry Income	233,017	231,544	256,740	232,666	251,762	253,073	261,173	248,612	235,242	251,321	258,358	234,472	2,947,981
4110 Cable/Internet Revenue	307,872	302,027	294,256	316,510	305,758	317,083	317,222	302,810	319,354	322,568	328,835	305,887	3,740,184
4120 CAM Reimbursements	5,975	5,623	5,352	5,636	5,611	5,510	5,463	5,515	5,553	5,487	5,501	5,647	66,873
4130 Tax Reimbursements	69,799	74,572	65,656	70,497	74,568	65,621	67,490	72,568	66,347	69,129	69,880	71,011	837,138
4140 Insurance Reimbursemen	317,346	336,283	312,609	313,397	340,657	324,889	312,684	341,173	310,420	321,331	352,026	317,149	3,899,966
4150 Percentage Rent	343,270	352,339	372,884	338,337	349,908	366,630	350,683	357,900	376,303	335,832	377,743	353,838	4,275,665
4160 Misc. Income	180,269	186,721	181,269	187,117	184,720	183,470	168,185	181,818	179,573	185,035	187,271	186,767	2,192,214
4170 Payroll - Management	36,972	36,683	34,491	36,553	37,260	37,585	34,282	38,587	37,240	35,069	36,188	36,976	437,887
4180 Payroll - Leasing	13,661	12,581	12,511	12,364	12,749	13,288	13,672	13,534	13,414	12,741	13,291	13,456	157,262
4190 Payroll - Maintenance	21,159	18,856	21,205	20,098	20,978	20,111	19,737	20,264	19,700	19,501	18,872	19,014	239,495
4200 Payroll Taxes & Benefits	34,724	33,300	34,158	34,775	33,524	36,004	35,516	33,825	33,426	34,430	34,337	33,248	411,267
4210 Repairs - Plumbing	53,273	50,732	53,388	53,662	49,785	49,707	55,131	55,532	52,913	52,958	55,051	49,655	631,786
4220 Repairs - HVAC	23,659	23,127	22,890	23,159	23,787	24,055	23,966	23,630	25,880	25,040	25,726	23,626	288,546
4230 Repairs - Electrical	30,513	29,473	32,336	32,269	29,502	30,451	32,245	32,403	30,150	33,813	30,842	30,692	374,688
4240 Repairs - Appliances	53,216	48,399	50,839	52,715	48,366	52,514	48,704	48,717	50,575	48,021	50,448	47,628	600,141

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4470 Property Insurance	30,391	31,856	30,068	32,660	32,925	30,375	32,261	30,808	30,962	32,019	32,231	30,128	376,684
4480 Real Estate Taxes	18,661	18,527	18,908	18,059	20,068	18,725	17,882	18,235	20,315	18,115	18,992	19,124	225,611
4490 Asset Management Fee	54,654	49,463	53,484	48,298	54,127	51,755	53,413	49,952	48,357	52,641	51,274	50,310	617,728
4500 Replacement Reserves	61,795	60,781	59,920	55,953	56,214	59,046	57,734	55,477	59,584	60,551	60,903	57,109	705,066
4510 Roof Repairs	59,251	59,591	63,117	61,032	57,032	60,821	58,291	58,293	62,242	62,561	60,218	61,758	724,206
4520 Parking Lot Repairs	39,775	36,819	36,500	37,807	36,798	37,755	38,286	36,330	36,463	40,949	36,018	38,967	452,467
4530 Signage	55,940	53,116	50,991	54,920	56,012	56,442	54,870	53,876	53,974	57,245	58,093	56,708	662,187
4540 Tenant Improvements	56,187	55,018	50,832	52,261	50,982	50,747	50,347	51,680	54,133	52,446	50,626	50,790	626,049
4550 Leasing Commissions	54,993	60,670	55,519	58,241	60,731	56,086	59,969	55,426	58,946	60,918	60,422	54,605	696,525
4000 Gross Potential Rent	519,583	484,743	514,409	484,320	524,034	505,527	520,736	488,486	500,315	503,401	524,207	475,525	6,045,286
4010 Loss to Lease	58,980	54,347	59,120	58,247	59,957	56,765	58,229	59,800	55,521	59,502	58,485	60,023	698,976
4020 Vacancy Loss	80,330	75,263	73,441	72,500	78,251	70,236	70,424	79,524	73,520	79,169	75,602	72,493	900,753
4030 Concessions	346,815	342,666	337,323	320,773	344,199	312,001	317,672	308,354	342,359	315,283	317,146	345,413	3,950,002
4040 Bad Debt	252,577	245,685	248,406	237,321	232,245	249,542	241,391	225,226	228,009	248,164	245,818	234,766	2,889,150
4050 Late Fees	183,247	188,769	186,890	183,975	186,471	171,545	173,022	180,603	189,638	181,959	171,899	189,919	2,187,939
4060 Utility Reimbursements	233,877	210,663	225,274	233,744	227,692	229,945	220,044	228,612	236,840	217,940	221,344	207,823	2,693,796
4070 Parking Income	23,598	26,424	23,916	24,108	24,973	25,468	23,926	23,560	25,217	24,502	26,478	24,543	296,713
4080 Application Fees	43,318	40,683	42,253	42,410	43,084	44,886	43,627	45,348	41,370	40,338	44,118	44,060	515,496
4090 Pet Rent	355,229	366,412	357,757	374,132	377,169	383,463	373,809	374,259	351,019	358,272	397,340	378,237	4,447,098
4100 Laundry Income	52,520	52,522	53,255	52,119	50,170	48,806	50,855	52,526	48,772	50,929	51,508	50,340	614,323
4110 Cable/Internet Revenue	82,983	86,009	88,037	77,983	86,806	84,433	78,774	80,666	85,118	82,037	88,871	80,047	1,001,766
4120 CAM Reimbursements	275,358	275,120	279,219	287,496	312,738	312,157	305,958	275,095	280,458	286,024	298,505	277,182	3,465,310
4130 Tax Reimbursements	174,302	170,563	177,506	156,967	161,782	156,506	174,761	166,132	172,092	170,333	163,697	169,895	2,014,536
4140 Insurance Reimbursemen	402,463	402,865	407,134	399,860	401,761	357,849	371,653	360,760	362,541	395,947	384,368	367,698	4,614,899
4150 Percentage Rent	292,166	265,355	291,561	297,345	287,477	276,495	285,970	263,812	293,994	274,296	277,138	268,549	3,374,158
4160 Misc. Income	7,436	8,237	7,376	8,133	7,623	7,521	7,529	7,520	7,699	8,129	8,039	7,420	92,662
4170 Payroll - Management	28,934	31,314	31,819	30,757	29,202	31,440	31,600	31,465	30,019	29,746	29,464	29,387	365,147
4180 Payroll - Leasing	35,148	36,392	34,804	35,153	34,575	32,924	37,114	36,847	33,565	33,873	36,002	35,688	422,084
4190 Payroll - Maintenance	51,086	51,670	56,266	55,480	51,398	51,624	52,624	54,963	55,006	53,526	54,496	53,954	642,093
4200 Payroll Taxes & Benefits	19,150	18,292	19,883	19,452	18,236	17,990	19,103	18,165	17,783	18,203	18,558	19,213	224,028
4210 Repairs - Plumbing	34,371	33,651	32,359	35,172	35,273	33,205	35,069	36,197	35,112	36,688	33,240	33,346	413,684
4220 Repairs - HVAC	48,525	49,945	52,356	49,710	51,233	51,072	52,222	47,515	51,479	50,366	49,564	53,710	607,697
4230 Repairs - Electrical	61,927	60,293	60,329	60,745	58,241	56,727	63,058	62,481	59,087	60,645	58,936	57,165	719,635
4240 Repairs - Appliances	13,975	15,014	13,942	15,461	15,310	14,343	15,014	14,889	14,663	14,369	13,788	13,640	174,407
4250 Painting & Decorating	25,473	23,542	26,162	25,098	23,756	26,035	24,247	25,931	24,371	26,543	26,269	23,389	300,815
4260 Flooring	24,028	25,341	23,951	24,016	25,034	25,051	23,913	25,771	26,576	26,239	24,778	26,025	300,724
4270 Make-Ready / Turnover	16,545	16,963	18,076	16,869	17,150	16,796	17,177	17,622	16,139	17,997	16,106	16,871	204,311
4280 Landscaping Contract	11,631	12,419	12,093	11,316	11,475	12,728	11,800	11,677	12,337	12,089	12,842	12,398	144,806
4290 Snow Removal	31,773	34,954	33,385	33,561	33,789	34,251	31,082	35,192	32,233	35,292	31,888	32,270	399,671
4300 Janitorial	5,823	6,679	6,009	6,216	6,171	6,110	6,141	6,488	6,255	5,882	6,361	6,434	74,570
4310 Pest Control	14,223	15,058	16,068	15,196	15,081	14,293	14,265	15,323	14,875	15,898	14,836	14,343	179,458
4320 Trash Removal	52,725	51,927	54,641	55,166	54,119	51,158	58,439	56,812	50,968	53,646	55,249	52,693	647,544
4330 Elevator Contract	41,313	45,450	45,420	43,222	40,678	45,576	43,013	43,246	42,681	43,732	42,111	45,076	521,518
4340 Fire & Life Safety	28,589	30,079	26,401	27,396	28,724	28,515	27,992	27,937	26,627	29,310	29,197	26,930	337,697
4350 Security	46,008	47,769	50,005	50,148	50,706	48,831	48,535	48,720	47,826	46,504	51,338	49,227	585,616
4360 Electricity - Common	30,292	33,333	30,544	32,967	31,351	30,549	32,687	30,965	30,022	32,845	31,652	30,785	377,991
4370 Gas - Common	4,904	5,432	5,552	5,100	5,476	4,976	5,453	5,592	5,334	5,340	5,188	4,973	63,320

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Income and Expense Review

Effective gross income for the trailing period was $472,000, representing a 6.1% increase over the prior year. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The project combines ground-floor retail and restaurant space with upper-level residential and office components. The going-in capitalization rate of 5.02% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 4.1% over the hold period.

Net operating income is projected to grow at a compound annual rate of 6.3% over the hold period. Management fees are calculated at 6.5% of collected revenue and are included in operating expenses. Debt service coverage ratio was 5.83x on a trailing basis against a covenant minimum of 1.20x. Percentage rent and CAM reimbursements are tracked separately for the commercial component. The going-in capitalization rate of 5.09% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Management Commentary

Service requests are tracked through a work-order system with an average completion time of 24 hours. Collections for the period were 89.3% of billed charges, with bad debt of 6.8% of gross potential income. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 17th business day. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Service requests are tracked through a work-order system with an average completion time of 5 hours. The property is walkable to transit, with 21 structured parking spaces shared between uses. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Income and Expense Review

Management fees are calculated at 5.4% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $379,000, representing a 4.4% increase over the prior year. The going-in capitalization rate of 5.38% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 3.9% over the hold period. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

The property is walkable to transit, with 44 structured parking spaces shared between uses. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Effective gross income for the trailing period was $30,000, representing a 5.1% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Management Commentary

Percentage rent and CAM reimbursements are tracked separately for the commercial component. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The manager completes a monthly walk of the property and submits a variance report to the owner by the 28th business day.

The property is walkable to transit, with 15 structured parking spaces shared between uses. The project combines ground-floor retail and restaurant space with upper-level residential and office components. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 12 additional team members. The manager completes a monthly walk of the property and submits a variance report to the owner by the 5th business day. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis.

Valuation Discussion

The going-in capitalization rate of 7.75% reflects the in-place income and the stabilized occupancy assumption. The property is walkable to transit, with 14 structured parking spaces shared between uses. Debt service coverage ratio was 6.10x on a trailing basis against a covenant minimum of 1.20x. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Operating expenses totaled $53,000 or approximately 13.73 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 3.1% of collected revenue and are included in operating expenses.

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4360 Electricity - Common	45,288	46,239	44,093	42,376	43,655	46,346	42,985	46,985	46,767	45,942	45,932	46,986	543,594
4370 Gas - Common	22,000	21,444	21,437	22,924	22,438	22,596	20,043	22,452	21,586	21,438	22,275	21,046	261,679
4380 Water & Sewer	43,640	44,118	41,569	38,695	40,287	39,789	43,349	43,042	39,605	42,449	38,739	41,949	497,230
4390 Telephone/Internet	23,870	23,073	21,771	24,125	23,636	24,033	21,957	22,234	23,723	22,090	22,378	23,583	276,474
4400 Advertising	22,237	21,906	21,515	21,509	24,202	24,263	22,301	24,099	23,432	24,589	21,712	21,538	273,304
4410 Resident Events	9,403	8,981	10,241	9,670	9,550	9,341	10,101	9,211	9,710	9,748	9,720	9,474	115,149
4420 Office Supplies	31,236	31,936	34,288	30,411	30,426	30,981	32,858	33,577	30,938	33,964	32,404	32,620	385,642
4430 Legal & Professional	22,887	20,951	22,597	22,351	21,901	22,160	22,338	20,773	20,413	20,686	21,981	21,677	260,715
4440 Accounting & Audit	42,657	42,403	45,329	41,479	40,780	43,693	40,331	41,013	39,858	43,011	39,909	44,536	504,997
4450 Licenses & Permits	18,062	16,739	16,215	17,393	16,350	15,861	16,231	17,833	16,959	15,998	16,028	17,116	200,784
4460 Management Fee	25,952	26,566	27,981	25,598	25,523	28,467	28,220	28,271	26,590	28,465	28,108	27,876	327,617
4470 Property Insurance	9,939	9,001	9,489	10,028	9,388	9,275	8,911	8,801	10,090	9,493	10,068	8,830	113,314
4480 Real Estate Taxes	17,972	19,160	18,065	19,801	19,929	18,856	17,609	19,321	18,689	17,745	19,087	18,601	224,836
4490 Asset Management Fee	55,717	60,881	62,035	62,033	56,987	60,876	55,587	57,168	59,321	58,623	58,101	59,329	706,658
4500 Replacement Reserves	25,420	24,331	27,103	25,336	24,624	25,652	27,126	27,221	27,528	24,696	24,266	25,958	309,261
4510 Roof Repairs	7,825	7,170	7,432	7,287	7,692	7,062	6,994	7,274	7,754	7,632	7,329	7,697	89,147
4520 Parking Lot Repairs	5,730	5,610	5,484	5,994	5,774	5,770	5,828	6,050	5,707	5,864	5,399	5,425	68,636
4530 Signage	8,897	8,728	8,809	10,011	9,734	9,192	9,912	9,601	9,323	9,240	9,783	8,808	112,037
4540 Tenant Improvements	32,524	33,329	29,815	33,574	32,863	30,703	32,807	30,017	32,506	31,657	33,398	33,189	386,382
4550 Leasing Commissions	22,322	21,351	22,108	22,216	20,734	20,858	20,455	21,403	20,574	20,448	22,098	22,023	256,592
4000 Gross Potential Rent	497,670	485,280	509,543	532,507	514,609	502,714	536,219	515,913	521,902	471,826	522,299	524,707	6,135,189
4010 Loss to Lease	130,157	141,307	136,620	137,038	136,203	137,260	130,151	127,320	127,132	135,750	126,320	137,591	1,602,848
4020 Vacancy Loss	169,971	176,552	169,190	175,595	176,820	188,129	176,827	184,302	163,858	170,867	174,080	166,996	2,093,189
4030 Concessions	48,485	48,913	45,286	44,780	45,791	45,448	47,445	46,185	48,111	45,419	48,263	48,089	562,214
4040 Bad Debt	220,384	240,851	213,841	229,565	229,091	241,879	214,432	215,538	219,560	223,283	227,209	212,512	2,688,145
4050 Late Fees	119,055	120,136	122,519	115,064	127,812	113,422	116,249	113,449	122,463	115,717	117,938	126,904	1,430,728
4060 Utility Reimbursements	333,293	356,149	354,874	348,510	357,620	350,314	318,245	346,463	319,125	327,153	322,160	331,186	4,065,091
4070 Parking Income	128,055	144,085	132,847	137,334	135,083	131,432	126,592	135,189	141,218	141,159	130,876	130,273	1,614,144
4080 Application Fees	230,853	230,779	230,060	231,220	245,357	241,791	235,263	219,105	221,238	222,340	228,079	246,582	2,782,666
4090 Pet Rent	424,221	407,436	435,654	422,550	397,847	398,674	444,974	449,955	444,595	427,517	399,095	415,227	5,067,746
4100 Laundry Income	240,475	219,639	225,893	222,980	225,183	220,902	231,814	222,746	212,935	221,523	220,532	237,746	2,702,366
4110 Cable/Internet Revenue	72,647	73,719	70,822	75,269	75,179	78,709	70,319	80,201	72,580	73,049	78,345	70,042	890,880
4120 CAM Reimbursements	132,599	130,426	138,712	126,847	135,574	129,243	134,924	127,513	138,205	133,801	123,545	138,456	1,589,847
4130 Tax Reimbursements	188,157	180,044	185,380	186,040	195,605	187,680	182,367	183,452	184,963	184,671	175,133	185,111	2,218,603
4140 Insurance Reimbursemen	419,340	391,812	392,241	407,098	408,968	410,689	431,782	389,716	377,106	396,566	407,657	419,241	4,852,217
4150 Percentage Rent	26,288	26,390	27,444	27,455	25,147	26,125	26,946	25,516	25,029	26,990	24,317	26,141	313,787
4160 Misc. Income	206,858	206,968	217,816	203,364	218,388	205,092	203,901	200,647	215,743	217,324	209,563	211,262	2,516,926
4170 Payroll - Management	17,881	18,543	17,552	16,634	16,727	18,508	18,870	17,110	17,018	17,951	18,128	17,694	212,618
4180 Payroll - Leasing	46,251	51,760	46,896	49,345	47,388	48,033	46,088	48,103	50,904	50,204	50,884	49,615	585,470
4190 Payroll - Maintenance	43,243	46,961	48,281	48,184	48,488	47,873	42,836	48,017	46,916	46,482	47,920	46,587	561,788
4200 Payroll Taxes & Benefits	51,800	55,199	58,205	53,496	51,396	56,536	53,070	56,313	57,133	57,537	57,334	52,712	660,732
4210 Repairs - Plumbing	42,713	40,985	45,926	43,835	40,438	45,279	42,944	43,136	44,831	41,412	42,416	44,518	518,434
4220 Repairs - HVAC	43,100	39,232	40,399	41,932	38,788	40,704	41,262	42,291	42,720	39,115	39,248	44,369	493,161
4230 Repairs - Electrical	45,224	48,099	49,788	47,836	47,889	49,582	45,994	47,339	50,262	47,351	46,582	49,386	575,332
4240 Repairs - Appliances	18,301	17,060	18,977	17,625	18,067	17,479	18,730	17,474	18,773	16,898	18,059	18,939	216,380
4250 Painting & Decorating	14,778	14,513	15,847	16,162	16,294	16,050	14,676	15,907	15,232	15,509	15,577	15,983	186,529

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Valuation Discussion

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Management fees are calculated at 7.5% of collected revenue and are included in operating expenses. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Debt service coverage ratio was 5.02x on a trailing basis against a covenant minimum of 1.20x.

The going-in capitalization rate of 7.46% reflects the in-place income and the stabilized occupancy assumption. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Management fees are calculated at 7.8% of collected revenue and are included in operating expenses. Debt service coverage ratio was 5.47x on a trailing basis against a covenant minimum of 1.20x.

Leasing and Marketing

The manager completes a monthly walk of the property and submits a variance report to the owner by the 41th business day. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis.

The project combines ground-floor retail and restaurant space with upper-level residential and office components. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The manager completes a monthly walk of the property and submits a variance report to the owner by the 25th business day. Service requests are tracked through a work-order system with an average completion time of 21 hours.

Valuation Discussion

The project combines ground-floor retail and restaurant space with upper-level residential and office components. The going-in capitalization rate of 6.20% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 4.6% over the hold period. Management fees are calculated at 3.4% of collected revenue and are included in operating expenses.

Debt service coverage ratio was 6.68x on a trailing basis against a covenant minimum of 1.20x. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The property is walkable to transit, with 18 structured parking spaces shared between uses.

Leasing and Marketing

The project combines ground-floor retail and restaurant space with upper-level residential and office components. The property is walkable to transit, with 26 structured parking spaces shared between uses. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Collections for the period were 96.1% of billed charges, with bad debt of 5.0% of gross potential income. Service requests are tracked through a work-order system with an average completion time of 16 hours.

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 40 additional team members. Service requests are tracked through a work-order system with an average completion time of 10 hours. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The manager completes a monthly walk of the property and submits a variance report to the owner by the 42th business day. Percentage rent and CAM reimbursements are tracked separately for the commercial component. The project combines ground-floor retail and restaurant space with upper-level residential and office components.

Valuation Discussion

Management fees are calculated at 7.6% of collected revenue and are included in operating expenses. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 8.10% reflects the in-place income and the stabilized occupancy assumption.

The project combines ground-floor retail and restaurant space with upper-level residential and office components. Operating expenses totaled $85,000 or approximately 18.18 per square foot, with real estate taxes representing the largest line item. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Net operating income is projected to grow at a compound annual rate of 6.7% over the hold period.

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4230 Repairs - Electrical	30,563	29,648	28,894	28,448	28,780	28,160	31,202	29,051	28,228	28,770	30,481	30,019	352,245
4240 Repairs - Appliances	34,761	35,122	31,776	33,521	33,850	34,293	32,845	34,795	36,219	33,294	32,283	35,226	407,984
4250 Painting & Decorating	30,122	32,933	29,155	33,032	30,931	32,166	29,578	31,660	32,085	32,687	29,051	29,683	373,083
4260 Flooring	12,125	12,101	12,410	11,463	11,332	12,810	11,871	12,497	11,349	12,089	11,285	12,126	143,456
4270 Make-Ready / Turnover	55,257	53,296	57,506	59,312	57,012	58,017	56,908	56,912	59,512	55,107	52,288	56,189	677,317
4280 Landscaping Contract	47,481	48,575	51,850	52,103	47,165	50,312	52,127	45,962	50,158	50,164	48,314	48,974	593,185
4290 Snow Removal	48,114	49,316	51,503	48,003	52,442	48,492	50,257	49,531	51,987	49,631	47,227	46,985	593,489
4300 Janitorial	14,286	14,331	14,944	15,059	15,494	15,618	15,173	14,118	13,868	15,049	14,440	14,975	177,355
4310 Pest Control	25,920	28,218	28,751	29,085	25,425	27,901	27,053	28,541	26,329	28,775	28,035	28,819	332,852
4320 Trash Removal	45,921	45,273	48,794	44,496	45,227	46,762	43,589	47,675	49,159	48,235	48,377	44,469	557,978
4330 Elevator Contract	59,301	55,275	53,952	55,291	58,692	61,057	56,639	56,775	61,093	59,540	56,687	55,800	690,102
4340 Fire & Life Safety	25,401	25,843	27,928	26,805	27,201	27,330	25,451	27,051	26,346	26,833	27,934	26,141	320,263
4350 Security	15,215	15,284	14,477	15,078	14,886	15,091	14,035	14,051	14,418	15,223	15,258	14,768	177,783
4360 Electricity - Common	18,299	18,501	19,096	18,214	19,790	18,560	17,713	18,505	17,483	17,387	18,672	18,577	220,798
4370 Gas - Common	36,500	39,950	37,914	35,547	36,804	36,601	35,362	36,845	39,652	36,041	36,576	38,180	445,972
4380 Water & Sewer	33,351	36,159	34,265	36,147	35,526	36,963	35,005	33,978	34,636	35,117	34,310	35,083	420,541
4390 Telephone/Internet	41,604	47,104	44,777	46,014	43,012	44,694	43,271	44,601	41,971	44,545	42,758	46,751	531,103
4400 Advertising	34,526	37,046	37,232	34,873	36,808	35,358	34,437	35,477	33,046	33,334	36,808	37,555	426,503
4410 Resident Events	14,419	15,197	14,533	14,060	14,600	13,903	15,094	14,443	14,687	13,900	15,723	14,663	175,222
4420 Office Supplies	58,872	58,742	57,089	57,215	57,143	58,940	59,894	58,382	55,654	61,773	60,618	56,540	700,864
4430 Legal & Professional	24,540	25,045	24,243	23,442	25,049	24,600	22,536	25,014	24,332	22,298	25,215	22,817	289,130
4440 Accounting & Audit	40,517	41,059	42,882	44,892	41,893	40,271	40,593	45,977	44,255	45,269	44,355	44,264	516,227
4450 Licenses & Permits	18,760	19,346	19,309	17,825	19,538	19,472	19,393	18,870	17,263	18,379	19,055	17,314	224,524
4460 Management Fee	15,116	16,438	16,329	16,394	16,069	17,318	15,711	16,624	16,676	15,500	16,802	16,946	195,924
4470 Property Insurance	25,734	27,895	28,207	29,457	25,931	27,139	28,669	28,788	28,183	25,763	27,690	28,962	332,417
4480 Real Estate Taxes	45,964	45,111	42,210	46,121	44,210	45,231	43,768	42,002	41,475	42,633	45,548	44,914	529,187
4490 Asset Management Fee	16,690	18,262	17,949	18,608	16,669	16,742	17,171	16,925	17,687	16,811	18,434	16,879	208,828
4500 Replacement Reserves	14,675	14,492	14,074	13,076	14,132	14,694	12,944	14,134	13,927	14,582	14,637	12,889	168,257
4510 Roof Repairs	47,399	47,370	46,614	45,633	49,205	49,500	46,333	46,168	44,749	45,942	43,731	45,993	558,637
4520 Parking Lot Repairs	35,778	33,989	35,912	33,880	32,529	32,033	35,571	32,984	34,056	33,506	36,587	33,371	410,196
4530 Signage	50,855	55,642	52,555	57,572	50,682	53,659	51,884	50,418	50,626	53,417	51,153	52,330	630,791
4540 Tenant Improvements	33,621	32,122	32,497	34,436	34,706	34,112	35,375	32,482	31,298	33,310	34,898	35,266	404,125
4550 Leasing Commissions	5,908	5,451	5,292	5,335	5,611	5,502	5,639	5,543	5,882	6,068	5,430	5,619	67,280
4000 Gross Potential Rent	526,507	527,241	486,893	473,922	470,204	514,632	535,150	500,557	500,519	531,028	486,527	494,832	6,048,013
4010 Loss to Lease	161,513	153,371	160,409	165,414	173,273	158,680	162,044	166,781	155,997	173,592	153,414	153,950	1,938,438
4020 Vacancy Loss	212,906	206,893	201,580	204,516	205,333	203,015	207,042	190,884	203,229	191,081	211,047	202,619	2,440,146
4030 Concessions	338,482	336,311	334,028	333,929	341,678	371,484	361,325	352,006	350,533	327,557	359,213	359,883	4,166,430
4040 Bad Debt	108,790	113,048	114,337	112,902	107,337	105,367	113,089	112,982	110,205	106,486	115,584	116,055	1,336,181
4050 Late Fees	228,610	233,246	241,472	233,494	244,395	240,329	244,627	224,509	240,707	234,484	244,224	236,759	2,846,854
4060 Utility Reimbursements	407,704	368,165	372,059	388,063	379,300	402,172	369,894	381,345	403,458	376,774	371,372	365,750	4,586,057
4070 Parking Income	12,201	12,479	13,049	13,535	12,973	12,456	13,010	12,619	13,053	12,983	13,431	12,221	154,010
4080 Application Fees	438,052	425,360	434,938	425,035	429,454	406,513	452,441	440,349	449,363	416,882	438,428	421,878	5,178,694
4090 Pet Rent	164,405	171,475	182,028	180,358	182,569	168,908	165,515	171,875	171,104	180,311	163,426	172,691	2,074,665
4100 Laundry Income	208,250	210,566	217,789	207,938	210,840	194,110	221,272	205,312	215,999	199,328	216,957	218,327	2,526,688
4110 Cable/Internet Revenue	263,103	258,571	241,453	241,392	235,242	245,706	251,830	241,112	236,761	249,281	248,566	237,720	2,950,736

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Financial Analysis

Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Debt service coverage ratio was 6.91x on a trailing basis against a covenant minimum of 1.20x. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Operating expenses totaled $344,000 or approximately 28.38 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 3.3% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Management fees are calculated at 6.4% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $381,000, representing a 9.2% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 5.06% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $441,000 or approximately 26.27 per square foot, with real estate taxes representing the largest line item.

Property Operations

The project combines ground-floor retail and restaurant space with upper-level residential and office components. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Service requests are tracked through a work-order system with an average completion time of 45 hours. Collections for the period were 93.2% of billed charges, with bad debt of 3.5% of gross potential income. The property is walkable to transit, with 23 structured parking spaces shared between uses.

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 90.4% of billed charges, with bad debt of 7.8% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 8th business day. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Operating Performance

Effective gross income for the trailing period was $414,000, representing a 7.4% increase over the prior year. Operating expenses totaled $431,000 or approximately 36.16 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 6.0% of collected revenue and are included in operating expenses.

Effective gross income for the trailing period was $184,000, representing a 9.8% increase over the prior year. Operating expenses totaled $358,000 or approximately 38.67 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 7.2% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 7.1% of collected revenue and are included in operating expenses. The going-in capitalization rate of 6.13% reflects the in-place income and the stabilized occupancy assumption.

Property Operations

Percentage rent and CAM reimbursements are tracked separately for the commercial component. The property is walkable to transit, with 47 structured parking spaces shared between uses. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The manager completes a monthly walk of the property and submits a variance report to the owner by the 20th business day.

Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Collections for the period were 90.6% of billed charges, with bad debt of 4.9% of gross potential income. Service requests are tracked through a work-order system with an average completion time of 20 hours. The project combines ground-floor retail and restaurant space with upper-level residential and office components.

Income and Expense Review

Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The going-in capitalization rate of 7.66% reflects the in-place income and the stabilized occupancy assumption. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Management fees are calculated at 5.2% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $224,000, representing a 12.0% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 7.7% over the hold period.

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4120 CAM Reimbursements	369,940	416,296	419,721	404,783	405,270	396,106	388,272	391,490	412,563	390,708	386,736	421,822	4,803,707
4130 Tax Reimbursements	56,077	60,048	57,352	61,737	57,984	58,144	62,681	59,368	62,180	56,557	60,514	58,957	711,599
4140 Insurance Reimbursemen	345,715	356,070	342,690	371,654	342,627	358,879	359,269	371,229	371,705	374,804	344,677	361,457	4,300,777
4150 Percentage Rent	398,502	392,802	386,929	400,866	417,573	424,783	384,697	379,455	424,296	424,678	382,081	379,092	4,795,754
4160 Misc. Income	319,496	337,872	323,675	294,065	316,556	306,536	322,321	310,144	303,597	330,161	304,600	336,011	3,805,034
4170 Payroll - Management	42,871	43,052	45,190	43,727	43,899	46,432	45,618	41,306	41,063	41,905	44,736	42,919	522,718
4180 Payroll - Leasing	38,292	38,157	39,434	41,829	40,577	40,474	43,377	41,542	41,287	43,460	41,532	39,753	489,715
4190 Payroll - Maintenance	11,869	12,959	13,115	12,387	13,005	13,419	11,978	13,042	12,646	12,873	12,600	12,561	152,456
4200 Payroll Taxes & Benefits	6,465	6,295	6,541	5,897	6,257	6,063	5,979	6,058	6,419	6,486	6,364	6,467	75,292
4210 Repairs - Plumbing	36,782	34,572	33,182	33,627	37,339	36,360	34,705	33,398	35,680	34,090	35,300	36,965	422,000
4220 Repairs - HVAC	58,546	55,022	59,071	58,710	54,016	53,713	56,130	58,798	54,186	54,402	57,575	52,972	673,142
4230 Repairs - Electrical	51,757	53,536	54,769	49,686	53,485	54,811	56,712	52,059	52,257	55,796	53,382	54,124	642,374
4240 Repairs - Appliances	52,200	57,124	56,694	52,617	52,596	58,565	54,354	58,776	55,732	52,101	55,548	52,943	659,249
4250 Painting & Decorating	19,343	18,683	18,473	18,790	18,431	19,825	17,974	18,762	17,769	19,705	18,086	19,677	225,519
4260 Flooring	30,911	32,326	33,907	31,859	31,464	30,701	32,955	33,585	30,321	32,827	30,373	34,397	385,627
4270 Make-Ready / Turnover	16,424	15,310	14,582	15,495	16,253	15,457	15,208	14,752	16,477	14,735	16,612	14,849	186,154
4280 Landscaping Contract	34,805	37,017	36,911	33,883	37,749	36,502	33,947	34,175	36,397	38,184	37,628	36,201	433,398
4290 Snow Removal	48,028	50,258	51,711	52,661	49,032	50,616	47,294	50,793	48,356	48,505	48,760	49,428	595,442
4300 Janitorial	13,161	13,333	12,113	13,105	12,195	11,783	11,809	12,891	11,840	12,570	11,762	13,103	149,665
4310 Pest Control	50,406	47,812	46,659	46,094	46,163	45,140	46,371	47,984	47,884	50,530	44,975	51,173	571,191
4320 Trash Removal	33,605	36,172	35,085	36,712	36,813	35,025	36,832	36,474	33,678	34,681	35,821	37,146	428,043
4330 Elevator Contract	56,384	58,022	56,497	57,049	60,012	62,976	61,829	58,637	63,316	56,278	60,546	58,104	709,650
4340 Fire & Life Safety	18,121	17,780	16,791	17,239	17,162	17,366	16,710	17,101	16,732	18,169	18,052	17,516	208,738
4350 Security	48,413	43,232	48,188	45,575	45,881	48,002	46,612	45,719	45,056	43,611	43,793	45,495	549,576
4360 Electricity - Common	8,202	8,449	7,709	8,171	8,545	8,249	8,589	8,224	8,276	8,561	8,593	7,694	99,263
4370 Gas - Common	50,762	50,739	49,529	45,419	48,157	47,225	45,875	48,101	48,075	46,292	46,716	45,518	572,409
4380 Water & Sewer	19,660	18,223	18,045	18,987	18,022	17,908	18,289	19,447	19,655	18,199	19,415	17,879	223,729
4390 Telephone/Internet	16,096	18,071	17,048	16,683	16,723	17,549	16,069	18,084	17,563	18,191	16,744	16,500	205,321
4400 Advertising	36,591	40,348	37,371	36,524	38,772	37,017	38,233	40,038	40,660	39,153	39,789	41,432	465,927
4410 Resident Events	19,241	20,916	20,550	21,446	20,892	20,370	21,974	19,470	19,696	21,648	20,167	20,382	246,752
4420 Office Supplies	47,621	47,559	46,168	49,420	48,465	46,899	48,889	51,821	46,165	50,515	45,166	51,421	580,110
4430 Legal & Professional	10,855	11,212	11,464	10,582	10,906	10,674	11,910	11,606	11,350	11,507	11,573	11,286	134,925
4440 Accounting & Audit	25,620	25,433	24,108	26,177	23,557	23,387	25,100	25,027	24,871	23,599	24,849	24,030	295,758
4450 Licenses & Permits	47,918	50,095	47,663	51,347	52,876	47,716	48,996	48,568	48,915	53,492	53,233	47,741	598,561
4460 Management Fee	47,054	49,420	46,843	49,955	51,454	52,211	47,356	50,214	49,586	48,661	50,049	48,788	591,592
4470 Property Insurance	33,777	36,362	33,433	32,377	34,687	36,827	36,384	32,590	33,275	32,825	35,548	35,313	413,397
4480 Real Estate Taxes	40,802	40,706	43,410	41,505	40,466	44,048	41,842	40,006	45,105	40,415	45,426	45,318	509,050
4490 Asset Management Fee	51,560	47,813	52,012	48,758	48,717	48,463	45,642	51,401	47,757	50,510	45,493	49,658	587,784
4500 Replacement Reserves	51,447	55,902	54,618	49,375	54,828	56,015	51,845	49,780	49,753	53,605	53,325	51,982	632,474
4510 Roof Repairs	35,661	34,217	32,669	35,492	33,024	34,808	35,100	34,831	35,116	34,088	31,745	33,831	410,581
4520 Parking Lot Repairs	42,898	40,271	39,301	38,548	40,724	40,093	40,168	37,609	37,708	42,310	41,497	42,355	483,481
4530 Signage	38,907	40,831	35,791	39,891	37,325	37,024	39,352	37,056	40,743	36,774	39,322	36,203	459,222
4540 Tenant Improvements	57,586	53,747	58,337	57,153	58,829	59,237	52,507	56,625	57,139	57,603	52,920	54,582	676,264
4550 Leasing Commissions	22,741	23,346	21,498	22,638	20,849	22,348	21,614	21,334	22,855	23,117	22,358	21,244	265,942
4000 Gross Potential Rent	525,174	523,235	469,927	519,574	501,389	477,070	513,734	523,861	525,663	531,287	474,045	471,249	6,056,209

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Valuation Discussion

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Effective gross income for the trailing period was $145,000, representing a 4.7% increase over the prior year. The property is walkable to transit, with 6 structured parking spaces shared between uses. The going-in capitalization rate of 6.52% reflects the in-place income and the stabilized occupancy assumption.

The property is walkable to transit, with 11 structured parking spaces shared between uses. The project combines ground-floor retail and restaurant space with upper-level residential and office components. The going-in capitalization rate of 5.26% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 5.16x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $131,000, representing a 10.6% increase over the prior year.

Management Commentary

The property is walkable to transit, with 21 structured parking spaces shared between uses. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Collections for the period were 89.1% of billed charges, with bad debt of 7.9% of gross potential income. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 16th business day. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The property is walkable to transit, with 5 structured parking spaces shared between uses. Service requests are tracked through a work-order system with an average completion time of 9 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Valuation Discussion

Net operating income is projected to grow at a compound annual rate of 4.1% over the hold period. Operating expenses totaled $256,000 or approximately 32.94 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 7.64x on a trailing basis against a covenant minimum of 1.20x. The property is walkable to transit, with 12 structured parking spaces shared between uses.

Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Operating expenses totaled $300,000 or approximately 42.68 per square foot, with real estate taxes representing the largest line item. The property is walkable to transit, with 6 structured parking spaces shared between uses. Percentage rent and CAM reimbursements are tracked separately for the commercial component. The going-in capitalization rate of 8.08% reflects the in-place income and the stabilized occupancy assumption.

Leasing and Marketing

The property is walkable to transit, with 33 structured parking spaces shared between uses. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Service requests are tracked through a work-order system with an average completion time of 13 hours.

Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Service requests are tracked through a work-order system with an average completion time of 6 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 37th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 45 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The property is walkable to transit, with 8 structured parking spaces shared between uses.

Operating Performance

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Percentage rent and CAM reimbursements are tracked separately for the commercial component. The going-in capitalization rate of 7.67% reflects the in-place income and the stabilized occupancy assumption.

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4110 Cable/Internet Revenue	176,847	169,416	185,961	182,605	168,503	168,267	177,229	187,952	169,781	183,955	186,291	184,993	2,141,800
4120 CAM Reimbursements	36,493	37,229	37,813	35,605	35,295	35,365	39,283	34,831	39,912	39,436	36,551	38,845	446,659
4130 Tax Reimbursements	196,337	200,374	204,327	199,362	186,286	191,482	186,345	186,816	187,937	206,111	189,659	208,090	2,343,126
4140 Insurance Reimbursemen	138,113	155,363	147,246	141,939	151,038	141,302	152,858	140,891	137,179	146,372	155,267	138,457	1,746,023
4150 Percentage Rent	137,053	151,418	145,868	131,911	149,271	147,545	139,450	143,885	138,284	137,478	134,378	150,356	1,706,897
4160 Misc. Income	248,529	256,010	245,860	261,237	237,482	260,220	248,846	250,879	248,274	238,982	239,308	245,442	2,981,070
4170 Payroll - Management	59,663	56,765	57,665	56,493	52,651	59,853	56,912	55,303	58,331	52,695	53,328	58,025	677,684
4180 Payroll - Leasing	19,896	18,393	20,003	17,909	19,888	20,012	20,079	18,429	17,770	17,763	18,004	18,762	226,908
4190 Payroll - Maintenance	37,168	37,500	39,284	35,998	36,933	39,335	38,420	35,363	39,264	36,265	36,367	35,715	447,613
4200 Payroll Taxes & Benefits	22,026	21,030	22,154	22,410	22,323	22,849	21,214	23,379	21,288	23,474	23,207	20,578	265,933
4210 Repairs - Plumbing	21,454	21,807	22,966	21,395	21,667	21,077	20,904	23,067	21,874	21,367	21,756	21,388	260,723
4220 Repairs - HVAC	34,980	34,600	32,148	33,415	34,099	32,156	32,975	35,734	34,333	35,721	35,602	34,625	410,388
4230 Repairs - Electrical	39,427	37,378	39,449	37,780	37,740	39,542	37,540	40,089	39,338	41,396	41,292	40,903	471,875
4240 Repairs - Appliances	39,360	38,445	37,851	36,365	37,830	39,654	37,417	36,987	39,840	36,283	37,567	38,257	455,857
4250 Painting & Decorating	29,017	30,225	30,364	29,875	29,456	29,791	27,919	28,223	28,687	27,173	30,824	27,367	348,921
4260 Flooring	21,651	23,018	20,377	22,716	22,253	21,161	20,369	21,032	21,045	21,836	22,183	20,582	258,223
4270 Make-Ready / Turnover	11,443	11,527	11,182	11,002	11,129	11,811	11,544	10,834	10,654	11,919	11,141	11,485	135,669
4280 Landscaping Contract	23,928	23,999	22,965	23,227	23,265	23,458	24,012	24,837	22,970	23,249	22,666	23,059	281,633
4290 Snow Removal	41,476	40,637	41,204	38,515	39,296	39,978	38,303	41,760	41,304	39,903	38,611	39,369	480,355
4300 Janitorial	15,863	15,986	16,023	16,428	15,921	16,939	16,135	16,914	15,386	17,219	16,646	16,310	195,769
4310 Pest Control	5,303	5,308	5,165	5,456	5,894	5,746	5,925	5,925	5,392	5,377	5,934	5,530	66,953
4320 Trash Removal	32,692	35,217	35,989	35,922	32,062	33,388	34,880	33,262	33,695	33,857	31,630	34,733	407,328
4330 Elevator Contract	42,233	39,956	44,797	39,575	40,604	42,898	43,939	42,325	41,157	39,022	39,197	43,384	499,087
4340 Fire & Life Safety	12,407	12,641	12,649	12,196	12,907	13,568	13,145	13,171	13,247	12,857	13,664	12,488	154,940
4350 Security	37,624	34,807	34,816	35,482	34,450	35,453	35,199	35,712	36,441	34,370	35,115	35,466	424,934
4360 Electricity - Common	45,951	47,702	46,181	43,777	46,812	46,400	46,401	49,542	43,809	48,076	48,091	45,323	558,065
4370 Gas - Common	18,372	19,327	20,435	19,601	19,097	18,711	20,525	20,152	19,538	20,034	18,887	18,397	233,077
4380 Water & Sewer	48,338	49,578	44,280	49,884	48,285	47,884	49,990	48,206	44,533	46,673	46,888	49,333	573,873
4390 Telephone/Internet	37,024	35,460	33,232	35,427	37,391	35,192	37,273	37,649	36,216	36,273	34,811	37,523	433,473
4400 Advertising	56,212	54,740	59,541	56,027	55,468	54,720	58,242	57,904	55,379	53,045	58,353	55,421	675,052
4410 Resident Events	28,806	28,809	28,659	29,630	28,443	26,760	29,172	26,816	27,636	26,919	30,106	27,450	339,208
4420 Office Supplies	57,857	61,790	56,974	61,279	57,397	56,097	56,410	61,530	60,341	58,922	56,988	60,038	705,623
4430 Legal & Professional	15,512	14,050	14,011	14,330	15,170	14,495	14,857	15,148	14,757	13,676	14,373	14,375	174,755
4440 Accounting & Audit	48,082	52,790	48,128	46,809	51,900	48,433	49,926	50,460	50,161	51,719	48,238	50,285	596,932
4450 Licenses & Permits	13,483	14,310	13,420	13,852	12,835	12,950	14,545	13,634	13,041	14,124	14,126	14,106	164,426
4460 Management Fee	16,499	15,949	17,590	15,983	15,809	16,672	17,613	17,434	17,119	17,821	17,540	17,746	203,774
4470 Property Insurance	47,375	44,203	43,760	45,791	45,809	43,952	48,085	48,658	46,153	46,544	43,759	43,710	547,798
4480 Real Estate Taxes	21,164	20,316	21,781	21,841	21,565	20,627	21,937	22,868	21,936	23,020	23,112	20,597	260,764
4490 Asset Management Fee	12,641	12,127	12,507	13,452	12,285	12,526	13,029	12,480	12,320	12,871	13,305	13,497	153,039
4500 Replacement Reserves	42,272	40,096	41,154	41,730	38,111	38,729	40,201	38,990	40,937	42,053	39,479	42,018	485,770
4510 Roof Repairs	44,190	38,745	41,140	43,164	42,602	41,010	40,649	40,803	40,475	39,407	44,334	44,217	500,735
4520 Parking Lot Repairs	24,418	23,519	24,321	24,295	24,464	24,636	23,730	22,667	24,428	23,246	23,780	23,936	287,439
4530 Signage	14,704	15,256	15,682	15,647	15,215	15,011	15,930	15,445	15,788	16,201	15,002	15,052	184,931
4540 Tenant Improvements	11,449	12,235	11,399	11,097	11,673	11,576	10,735	11,638	10,905	11,972	10,895	12,204	137,777
4550 Leasing Commissions	29,816	29,335	28,882	30,923	29,299	27,767	29,691	30,718	27,607	30,211	29,587	27,566	351,402
4000 Gross Potential Rent	472,654	492,250	490,043	515,753	467,807	476,661	474,919	492,386	510,151	495,676	494,588	482,518	5,865,406
4010 Loss to Lease	163,469	159,993	160,142	163,896	157,445	156,178	160,392	159,636	166,259	147,967	168,287	152,320	1,915,986

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Summary and Notes

Valuation Discussion

Operating expenses totaled $71,000 or approximately 39.58 per square foot, with real estate taxes representing the largest line item. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Net operating income is projected to grow at a compound annual rate of 5.4% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

The project combines ground-floor retail and restaurant space with upper-level residential and office components. The going-in capitalization rate of 5.81% reflects the in-place income and the stabilized occupancy assumption. The property is walkable to transit, with 9 structured parking spaces shared between uses. Debt service coverage ratio was 7.59x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 6.8% of collected revenue and are included in operating expenses.

Management Commentary

Service requests are tracked through a work-order system with an average completion time of 40 hours. Percentage rent and CAM reimbursements are tracked separately for the commercial component. The manager completes a monthly walk of the property and submits a variance report to the owner by the 20th business day. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The property is walkable to transit, with 21 structured parking spaces shared between uses. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 12 additional team members.

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 16 additional team members. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The manager completes a monthly walk of the property and submits a variance report to the owner by the 47th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Collections for the period were 93.5% of billed charges, with bad debt of 5.2% of gross potential income.

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